Procurement Policy

This policy sets out how Acme Holdings buys goods and services. It applies to every employee who raises, approves or pays for a purchase.

1 Purpose

The purpose of this policy is to make sure that money is spent with the right approval, at a fair price, with a clear record of who decided what.

2 Scope

The policy covers all purchases in Rand, from a single box of printer paper to a multi-year service contract. Petty cash purchases under R 500,00 are covered by the Petty Cash Procedure.

3 Purchase requests

Every purchase starts with a purchase request in the procurement system. The requester names the cost centre, the supplier, the items and the amount including VAT. A request without a cost centre cannot be submitted.

Requests are never raised after the goods have been ordered. An order placed before approval is a policy breach and is reported to Finance.

4 Approvals

Every submitted request is routed to an approver. The approver depends on the amount and on the cost centre of the request.

4.1 Approval chain

The first approver is the line manager of the requester. Nobody may approve their own request, even when their approval limit would allow it. The system enforces this rule and records every attempt.

When the amount is above the limit of the line manager, the request moves up to the next level automatically. Each level can approve, reject or send the request back with a comment.

4.2 Approval thresholds

The approval level is decided by the total amount of the request including VAT, as set out in the table below.

Amount (ZAR)	Approver	Maximum time to decide
Up to R 20 000,00	Line manager	2 working days
R 20 000,01 to R 200 000,00	Department head	3 working days
R 200 000,01 to R 1 000 000,00	Finance director	5 working days
Above R 1 000 000,00	Executive committee	10 working days

4.3 Escalation and timeouts

An approver has a limited time to decide on a request. The time depends on the amount, as shown in the table of approval thresholds. The system reminds the approver when half of the time has passed.

When the time runs out, the request is escalated to the next level of approval. The original approver is told that the request has been escalated, and the request shows in its history that the approver did not respond in time. Escalation does not remove the original approver from the history, and the original approver can still add a comment.

An approver who knows that they will be away can name a delegate for the period of their absence. A delegate has the same limit as the approver they stand in for. A delegate may not approve a request that the delegate raised, and a delegate may not approve a request of the approver they stand in for if the approver is the requester.

If the request reaches the top of the approval chain and the time runs out there as well, the request is not approved automatically. It is marked as expired, the budget that was reserved for it is released, and the requester is told that they must raise the request again if the purchase is still needed. This is deliberate: silence is never taken as consent when it comes to spending the company's money.

Urgent requests may be marked as urgent by the requester, with a reason. Urgent requests have half of the normal time to decide at every level. The reason is shown to every approver, and the use of the urgent flag is reported to Finance every month. A requester who uses the flag for requests that were not urgent will be asked to explain this to their manager.

Approvers must give a reason when they reject a request. The reason is sent to the requester and is stored with the request for audit purposes. A rejected request releases its reserved budget at once. A requester may change a rejected request and submit it again, which starts a new approval chain from the first level.

When a request is cancelled by the requester after it was approved but before the order was sent to the supplier, the budget is released and the approvers are told. After the order has been sent, cancellation is a matter between Procurement and the supplier and needs the approval of the department head.

Finance may, at any time, pause the approval of every request on a cost centre, for example during a budget review or at the financial year end. While a cost centre is paused, the clock of the approval timeouts stands still. The approvers of the cost centre can still see the requests, but cannot decide on them until Finance lifts the pause.

Where a request is split into several smaller requests to stay below an approval limit, the requests are combined for approval purposes. Splitting a purchase to avoid a higher level of approval is a policy breach. The system compares requests of the same requester, cost centre and supplier raised within seven days, and warns the approver when the combined amount would have needed a higher level.

Every escalation, reminder, delegation and pause is written to the audit trail with the time, the person and the reason. Internal Audit reviews the audit trail every quarter and reports the number of escalations, expired requests and urgent requests per cost centre to the Finance director. Cost centres with a high number of expired requests are asked to review who their approvers are and whether the limits still fit the work that they do.

Approvers are trained once a year on this policy. A new approver may not decide on requests above R 20 000,00 until the training has been completed, and the system shows the date of the last training next to the name of every approver. Approvers who have not completed the training within twelve months are removed from the approval chain until they have, and their open requests are escalated to the next level in the meantime. The head of Procurement keeps the list of trained approvers and gives it to Internal Audit on request.

5 Suppliers

Orders are placed only with suppliers on the approved supplier list. A new supplier needs a tax clearance certificate and a bank confirmation letter before the first order.

6 Invoices and payment

An invoice is paid only when it matches the purchase order and the goods receipt (three-way match). Differences above 2 % of the invoice amount are sent back to Procurement. Approved invoices are paid on the next payment run.